

pillars for a growing economy is a largely paper based and cumbersome process resulting in time inefficiencies. Through smart contracts and a global network, the details and contract terms can be verified and payments done through an automated process saving time and costs. Several other services like letter of credit facilities, factoring, receivable and inventory finance etc. could also be automated on the blockchain. Import export transactions could become smoother by eliminating all paperwork and can happen in real time.



Some of the banks investing in blockchain technology

Banks have been experimenting with this technology since 2016. Back in September 2016, Barclays and tech start-up Wave executed the first international trade transaction using an electronic bill of lading transferred digitally via blockchain technology. Apart from Wave, other startups like EssDocs and Bolero are also addressing the bill of lading process to shift it on the blockchain technology. R3, a global banking blockchain consortium has 80 members comprising of banks and financial institutions are looking to soon implement the proprietary blockchain based Corda software. This is aimed at cutting costs and increasing efficiency in the processing of sight letters of credit.

For banks to unlock the full potential of blockchain technology, they cannot operate in a vacuum. A holistic ecosystem needs to be developed by onboarding the shipping and freight companies, agents, insurers, ports and customs and all the stakeholders involved in any international or domestic trade. Now we are talking about digitising trade and not just trade finance. A gargantuan but not impossible task.